

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

OCEAN BLUE EXPRESS, INC.,

Complainant,

v.

MAERSK A/S and MAERSK AGENCY U.S.A., INC.,

Respondents.

Docket No. 2075(I)

**COMPLAINANT’S MEMORANDUM OF LAW IN OPPOSITION TO RESPONDENTS’  
MOTION TO DISMISS  
AND REPLY MEMORANDUM PURSUANT TO 46 C.F.R. § 502.313**

Complainant Ocean Blue Express, Inc. (“Complainant” or “Ocean Blue”) respectfully submits this Memorandum of Law in opposition to the Declination of Informal Adjudication and Motion to Dismiss (the “Motion” or “Mot.”) filed on September 22, 2026 by Respondents Maersk A/S and Maersk Agency U.S.A., Inc. (collectively, “Respondents” or “Maersk”). Citations to “Compl. Ex. \_\_\_” refer to the exhibits to Complainant’s verified Complaint; citations to “Mot. Ex. \_\_\_” refer to the exhibits to the Motion.

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**Other Authorities**

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## PRELIMINARY STATEMENT

Maersk's Motion rests on one premise: that this proceeding is "essentially a cargo damage claim" dressed up as a Shipping Act violation. Mot. at 2, 7. The documents already in the record—most of them Maersk's own—show otherwise.

Complainant tendered a shipper-owned ISO tank container ("SOC"), No. DKOU2503276, into Maersk's custody at the Bayport Container Terminal, Port of Houston. The terminal's own equipment record shows the unit was received with "Damaged: **NONE**." While the unit sat in the terminal yard awaiting loading, it was structurally damaged. Maersk did not tell Complainant. The vessel sailed without the tank. When Complainant discovered the omission and asked why, Maersk's surveyor inspected the unit and determined that it "needs to be removed from the terminal and repaired before it can be shipped." Maersk then unilaterally set the unit up for "export redeliver[y]" and instructed Complainant in writing: "As this is a shipper owned container, you will need to coordinate the repair and handle any costs thereafter **as a claim**." Compl. Ex. C (emphasis added).

Complainant did exactly what Maersk directed. It removed the tank, transloaded the hazardous cargo into a replacement tank, re-delivered the cargo for shipment, cleaned the damaged unit, and obtained a repair estimate. It then submitted those costs "as a claim." Maersk's answer was to apply a categorical rule—what its claims analyst called "the terms governing the acceptance and carriage of Shipper Owned Containers (SOC)"—under which any SOC damaged in Maersk's custody is "deemed to form part of the cargo" and every resulting cost is capped at USD 500. Mot. Ex. 2. By its own terms, that rule treats an SOC as part of "the cargo description in the relevant Carrier's bill of lading." Yet the only bill of lading Maersk has produced describes three other tanks that were loaded and carried; the damaged tank, which never left the terminal, appears

nowhere on it. Maersk thus applied a rule premised on a bill of lading description that does not exist for this unit.

This proceeding therefore does not ask the Commission to decide whether Maersk breached a promise to carry goods, or to adjudicate a COGSA damages action. It asks whether an ocean common carrier may maintain, as a standing regulation and practice, a protocol under which it (i) receives SOC equipment into its terminal custody; (ii) upon damage in that custody, withdraws the unit from the carriage by unilateral redelivery; (iii) directs the shipper to bear the removal, transloading, cleaning, and repair burden “as a claim”; and (iv) then treats that very claim as a cargo claim capped at USD 500—while its own terms bar the shipper from pursuing the terminal subcontractor that caused the damage (Mot. Ex. 1, cl. 4.2) and declare that a shipper who fails to mitigate waives every claim (*id.*, cl. 22.5). That is a practice “relating to or connected with receiving, handling, storing, or delivering property” in the most literal sense. 46 U.S.C. § 41102(c).

The Motion also suffers from a threshold procedural defect. By declining informal adjudication, Maersk moved this claim into Subpart T of the Commission’s Rules, which requires an Answer and does not incorporate the motion rules on which Maersk relies. The Motion should be denied.

### **PROCEDURAL POSTURE**

Complainant filed its verified Small Claim Form for Informal Adjudication on August 20, 2026. The Commission served the claim on August 28, 2026 and directed Respondents to respond by September 22, 2026, “together with an indication as to whether Respondents consent to the informal procedure provided in Subpart S.” Notice of Filing of Small Claims Complaint and Assignment (Aug. 28, 2026).

On September 22, 2026, Respondents filed a single document captioned as both a “Declination of Informal Adjudication” and a “Motion to Dismiss,” invoking 46 C.F.R. §§ 502.69 and 502.70. Mot. at 2, 6–7. Respondents did not file an answer.

Where “the respondent refuses to consent to the claim being informally adjudicated,” the claim “will be adjudicated under subpart T of this part.” 46 C.F.R. § 502.304; *see also* § 502.311. Complainant files this Memorandum within fifteen days of service of the Motion. To the extent the Presiding Officer treats Respondents’ filing as their responsive pleading under Subpart T, Complainant respectfully requests that this Memorandum also be accepted as its reply memorandum under 46 C.F.R. § 502.313.

### **Voluntary Reduction of the Amount Claimed**

In the interest of candor and accuracy, Complainant has re-examined the itemized costs submitted with its Complaint (Compl. Ex. D). One item—“Drayage 1,” the April 18–20, 2026 movement of the loaded tank from the shipper’s plant to Bayport Terminal (USD 2,052.13)—is the ordinary pre-shipment delivery cost that Complainant would have incurred had no damage occurred. Complainant hereby withdraws that item and reduces the amount claimed from USD 21,278.42 to **USD 19,226.29**. A reduction of the amount claimed cannot prejudice Respondents.

Of that amount, USD 5,664.41 represents invoiced removal, transloading, replacement-tank, cleaning, and depot-handling costs. The remaining USD 13,561.88 is stated on the basis of the repair depot’s itemized written estimate dated May 8, 2026 (Compl. Ex. D), as Complainant expressly disclosed to Maersk on July 21, 2026 (Compl. Ex. G). Complainant will supplement the record with the final repair invoice upon completion and will adjust the amount claimed as necessary to avoid any duplicative recovery.

## STATEMENT OF FACTS

The following facts are drawn from the verified Complaint and the documents attached to it, which the Presiding Officer may consider on a motion directed to the pleadings.

### A. The Booking and the Clean Gate-In

1. Under Booking No. 268552028, Complainant, an FMC-licensed NVOCC, booked four shipper-owned 20-foot ISO tanks with Maersk for carriage from Houston to Busan, CY/CY, each loaded with 2,4-DTBP, classified as UN 3077, Class 9 (environmentally hazardous substance). Compl. Exs. A, F.
2. Tank No. DKOU2503276<sup>1</sup> was gated into Bayport Container Terminal on April 20, 2026.<sup>2</sup> The terminal's container record shows "Damaged: **NONE**." Compl. Exs. B, C.

### B. Damage in Maersk's Custody and Maersk's Silence

3. While in the terminal yard awaiting loading on the M/V SAN FERNANDO, Voyage 617W, the tank sustained structural impact damage to the aft end of its frame.<sup>3</sup> Compl. Exs. C, E.
4. The vessel departed on April 26, 2026 with the other three tanks. DKOU2503276 was left behind. Maersk did not notify Complainant. Compl. Ex. F.
5. On April 27, 2026, Complainant noticed from Maersk's tracking that only three of the four tanks had departed and asked Maersk why. Maersk's customer-service

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<sup>1</sup>Maersk's Motion misidentifies the subject unit as "DKOU2503267." Mot. at 5. The unit at issue is DKOU2503276.

<sup>2</sup>The Complaint refers to a gate-in date of April 21, 2026. Maersk's own shipment tracking records the gate-in at Bayport Container Terminal at 08:11 on April 20, 2026. Compl. Ex. F. The one-day difference is immaterial to any issue presented.

<sup>3</sup>The record identifies the terminal-side personnel involved as employees of Port Houston and Houston Terminal LLC. Compl. Exs. C, F. Maersk's Terms for Carriage define such terminal operators and stevedores as the Carrier's "Subcontractor[s]." Mot. Ex. 1, cl. 1.

representative did not know; he asked Complainant to “check and confirm whether container DKOU2503276 loaded on vessel SAN FERNANDO/617W.” Complainant followed up repeatedly over the next day before the terminal confirmed that the unit had been cut from the vessel. Compl. Ex. F.

6. On April 29, 2026, Port Houston’s operations superintendent advised: “The tank was involved in an incident and needs to be inspected before it can leave the terminal. Maersk has been in communication with us to get this tank released.” Compl. Ex. C.

### **C. Maersk’s Instructions**

7. The same morning, Complainant informed Maersk in writing that the unit “has been damaged from port activities” and that “[i]f there is any repair, dray off, and anything are needed, I will have to ask for Maersk to compensate for these charges.” Compl. Ex. C (Apr. 29, 2026, 9:51 a.m.).
8. Maersk engaged its own surveyor and asked him to “inspect this unit and guide us accordingly on what needs to take place to make this unit deliverable.” *Id.* (11:51 a.m.).
9. Complainant again advised Maersk that it would “dray off the container from the port,” “repair and ask Maersk to take care of the dray off and repair charges since the container was okay at the time of in gate.” *Id.* (2:30 p.m.).
10. Maersk did not object. Instead, it directed:

Our surveyor has advised that this unit needs to be removed from the terminal and repaired before it can be shipped. I have set this unit up for export redeliver so that the unit can be picked up. As this is a shipper owned container, you will need to coordinate the repair and handle any costs thereafter as a claim.

*Id.* (2:59 p.m.) (Justin Leason, Maersk Customer Experience – Ocean Support). Port Houston confirmed that afternoon that the unit “is set up as Export Redelivery.” *Id.* (5:10 p.m.). Maersk’s surveyor reported the next day: “No leakage witnessed. Impact area is top right corner of the aft most section.” *Id.* (Apr. 30, 2026).

11. On May 1, 2026, Complainant gave Maersk further written notice that the cargo “must be transloaded from the tank,” that the tank “will also require cleaning followed by repair,” and that “[a]ll costs arising from this incident, including but not limited to transloading, cleaning, and repair, will be claimed from Maersk.” Compl. Ex. C.

#### **D. Complainant’s Compliance and the Costs Incurred**

12. Complainant carried out Maersk’s directive. It removed the damaged tank from the terminal, returned it to the shipper’s plant so the hazardous cargo could be transloaded, delivered a replacement tank (No. SLZU2836279) to receive the cargo, returned the loaded replacement tank to Bayport under a new booking (No. 270353654) so that the cargo could move, returned the empty damaged tank to the depot, had it cleaned, and obtained a repair estimate. Compl. Ex. D. The costs, as reduced above, are:

| <b>Date</b> | <b>Item (Compl. Ex. D)</b>                              | <b>USD</b> |
|-------------|---------------------------------------------------------|------------|
| 4/30/2026   | Damaged tank removed from Bayport Terminal to depot     | 461.75     |
| 5/5/2026    | Damaged loaded tank to shipper’s plant for transloading | 1,027.59   |
| 5/5/2026    | Replacement tank SLZU2836279 delivered to plant         | 1,048.74   |
| 5/8/2026    | Empty damaged tank returned to depot                    | 1,231.59   |
| 5/8/2026    | Loaded replacement tank to Bayport (Bkg. 270353654)     | 1,330.74   |
| 5/26/2026   | Cleaning of damaged tank                                | 489.00     |
| 5/2026      | Depot handling-in                                       | 75.00      |

| Date     | Item (Compl. Ex. D)               | USD              |
|----------|-----------------------------------|------------------|
|          | <b>Subtotal — invoiced costs</b>  | <b>5,664.41</b>  |
| 5/8/2026 | Repair (depot written estimate)   | 13,561.88        |
|          | <b>Total claimed (as reduced)</b> | <b>19,226.29</b> |

#### E. Maersk's Claim Handling

13. Complainant submitted its claim, including the itemized costs and a disclosure that the repair figure was an estimate. Compl. Ex. G (July 21, 2026). Maersk responded that it would proceed “in accordance with the standard Maersk Bill of Lading Terms and Conditions.” *Id.*
14. On July 28, 2026, Maersk offered USD 500, stating: “We are applying the package limitation under the U.S. COGSA provisions, which equates to USD 500 x 1 tank = USD 500, in accordance with Clause 7.2(b) of the Maersk Bill of Lading terms.” *Id.* Complainant rejected the offer with a detailed statement. Compl. Ex. E.
15. On August 3, 2026, Maersk maintained that “the claimed transloading, cleaning, repair, and related expenses arise from the damage to the tank and cargo carried under the Bill of Lading and therefore do not constitute separate recoverable claims.” Compl. Ex. G.
16. On August 10, 2026, Maersk's Senior Claims Analyst invoked “the terms governing the acceptance and carriage of Shipper Owned Containers (SOC),” which she quoted as providing that “the SOC is deemed to form part of the cargo description in the relevant Carrier's bill of lading” and that “any such liability will be subject to the same defenses, exemptions, exclusions, and limitations of liability as apply to the cargo itself.” Mot. Ex. 2; Compl. Ex. G. That provision does not appear in the Terms for Carriage that Maersk attached to its Motion as Exhibit 1.

## F. The Bill of Lading Does Not Describe the Damaged Tank

17. Maersk Waybill No. 268552028 was issued on May 4, 2026—after DKOU2503276 had been removed from the terminal. It recites “SHIPPED ON BOARD SAN FERNANDO \ 617W ON 2026-04-26,” describes “3 containers said to contain 3 TANKS,” and lists those containers as DKOU2514835, SEGU8065028, and DKOU2503363. Compl. Ex. A. **DKOU2503276 is not listed.** The “3 TANKS” description on which Maersk builds its package argument (Mot. at 5, 11) refers to three other tanks that were loaded and carried.

## STANDARD OF REVIEW

Subpart T does not provide for a pre-answer motion to dismiss. It requires the respondent to “file with the Commission an answer within twenty-five (25) days of service of the complaint” that admits or denies each matter set forth in the complaint, 46 C.F.R. § 502.312, and it specifies which of the Commission’s general rules apply. 46 C.F.R. § 502.321. Sections 502.69 and 502.70, on which Maersk’s Motion is expressly founded (Mot. at 2, 6–7), are not among them. *Id.*

To the extent the Presiding Officer considers the Motion, it should apply the standard Maersk itself invokes: whether the complaint contains “sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)); *see* Mot. at 13. All well-pleaded facts are accepted as true and all reasonable inferences are drawn in the complainant’s favor. Plausibility “is not akin to a ‘probability requirement.’” *Iqbal*, 556 U.S. at 678. Documents attached to the complaint are part of the pleading for this purpose.

Two further principles apply. First, the small-claim form prescribed by the Commission calls for a concise statement supported by attached documents; it should be read together with

those documents, and the Presiding Officer may call for additional affidavits, documents, or memoranda under 46 C.F.R. § 502.314 rather than dismiss. Second, an affirmative defense—such as a contractual limitation of liability—supports dismissal only where the complaint’s own allegations establish it. *Jones v. Bock*, 549 U.S. 199, 215 (2007).

## **ARGUMENT**

### **I. THE MOTION IS PROCEDURALLY IMPROPER UNDER SUBPART T, AND RESPONDENTS SHOULD BE DIRECTED TO ANSWER**

Maersk chose to decline informal adjudication. That choice has a defined consequence: the claim proceeds under Subpart T. 46 C.F.R. §§ 502.304, 502.311. Subpart T’s procedure is simple and specific—complaint, answer, reply memorandum, and such additional submissions as the Presiding Officer requires—and it expressly limits the general rules that apply. 46 C.F.R. §§ 502.312–502.314, 502.321. Maersk has not answered. It has instead filed a motion under rules that Subpart T does not incorporate.

The practical effect of Maersk’s approach is to avoid admitting or denying the specific facts on which this claim rests—among them, that the tank was received clean, that it was damaged in the terminal while in Maersk’s custody, that Maersk did not notify Complainant, that Maersk directed Complainant to remove and repair the unit and to handle the costs “as a claim,” and that the bill of lading Maersk invokes does not describe the damaged tank. Those are precisely the matters an answer under § 502.312 would require Maersk to address.

Complainant therefore respectfully requests that the Motion be denied on this ground alone and that Respondents be directed to file an answer conforming to 46 C.F.R. § 502.312 within such time as the Presiding Officer directs. Complainant nonetheless addresses each of Maersk’s substantive arguments below.

## II. THE COMMISSION HAS JURISDICTION BECAUSE THE COMPLAINT RAISES ISSUES BEYOND CONTRACTUAL OBLIGATIONS

### A. Under *Cargo One*, the Question Is Whether the Allegations Involve Elements Peculiar to the Shipping Act. They Do.

Maersk correctly identifies *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635 (FMC 2000), as the governing test. Mot. at 8. That test asks “whether a complainant’s allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act.” *Id.*, 2000 WL 1648961, at \*14. While allegations “essentially comprising contract law claims” are presumed to belong in court, “where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.” *Id.*; 28 S.R.R. at 1645. Maersk quotes both sentences but applies only the first.

Complainant does not allege that Maersk failed to carry its cargo, failed to pay a sum due under a contract, or breached a rate or service term. It alleges that Maersk maintains and enforces a regulation and practice governing what happens to shipper-owned equipment that is damaged while in Maersk’s terminal custody. Each component of that practice is conduct of a common carrier in “receiving, handling, storing, or delivering property,” not a contractual promise:

- (a) **Custody without notice.** Maersk held the damaged tank in the terminal, cut it from the vessel, and let the vessel sail without notifying the shipper, whose own inquiries were met by a Maersk representative asking the shipper whether the unit had loaded. Compl. Ex. F.
- (b) **Unilateral withdrawal from carriage.** Maersk—not Complainant—set the unit up for “export redeliver[y],” returning to Complainant equipment Maersk had received in sound condition. Compl. Ex. C.

- (c) **A directive shifting the remediation burden.** Maersk instructed Complainant that, “[a]s this is a shipper owned container,” Complainant must “coordinate the repair and handle any costs thereafter as a claim.” *Id.* The instruction was framed categorically, by reference to the class of equipment, not the facts of this incident.
- (d) **A standing SOC rule that nullifies the claim Maersk directed.** Maersk then applied a stand-alone rule—“the terms governing the acceptance and carriage of Shipper Owned Containers (SOC)” —that deems every SOC to be “cargo” so that every cost flowing from SOC damage is capped at USD 500. Mot. Ex. 2.
- (e) **Channeling of liability.** Maersk’s terms forbid the shipper from asserting any claim against the terminal operators and other subcontractors whose acts cause the damage (Mot. Ex. 1, cls. 4.2, 4.4), and declare that a shipper’s failure “to mitigate any loss or damage” waives every claim (*id.*, cl. 22.5). The shipper is thus required to mitigate, barred from pursuing the party at fault, and limited to USD 500 against the only party it may pursue.

Whether that combination is a “just and reasonable” regulation and practice is a question under 46 U.S.C. § 41102(c) that no court applying contract law or COGSA would ask. It is the kind of issue that is “peculiar to the Shipping Act.” The *Cargo One* presumption therefore runs in favor of the Commission’s jurisdiction.

#### **B. Section 40502(f) and Global Link Concern Service Contracts and Are Inapplicable**

Maersk invokes 46 U.S.C. § 40502(f), which provides that “the exclusive remedy for a breach of a service contract is an action in an appropriate court,” and *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 33 S.R.R. 512 (ALJ 2014), which held that a dispute over whether a carrier breached a duty to reduce rates under a service contract was “inherently [a]

contract claim[.]” Mot. at 8. This proceeding involves no service contract claim. Complainant does not allege the breach of any service-contract term, and Maersk identifies none.<sup>4</sup> Section 40502(f) says nothing about the Commission’s authority over a common carrier’s regulations and practices under § 41102(c).

### **C. Maersk’s Own Authorities Confirm That the Commission’s Jurisdiction Extends to Matters Outside COGSA**

Maersk quotes *Waterman Steamship Corp. v. General Foundries, Inc.*, 1993 FMC LEXIS 73, \*46 (1993), and the authority cited there, for the proposition that “Commission’s jurisdiction extends only to matters not within the scope of COGSA.” Mot. at 9 (quoting *Definition of “Package,”* 23 S.R.R. 111, 113 (1985)). Complainant agrees—and that is this case. The practices challenged here—the failure to notify, the unilateral redelivery, the directive to remediate “as a claim,” and the standing SOC rule that converts the directed claim into a USD 500 cargo claim—are not matters that COGSA addresses. COGSA fixes a carrier’s liability “for any loss or damage to or in connection with the transportation of goods” in an action on the contract of carriage. It does not regulate whether a carrier may adopt and enforce a regulation that directs a shipper to bear remediation costs and then denies the claim the carrier directed the shipper to submit.<sup>5</sup>

Congress expressly authorized the Commission to hear complaints alleging violations of the Shipping Act and to award “reparations to the complainant for actual injury caused by a violation.” 46 U.S.C. §§ 41301(a), 41305(b). A carrier cannot oust that statutory jurisdiction by pointing to a limitation clause in its own bill of lading.

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<sup>4</sup>Complainant’s claim does not arise under, and Complainant does not allege the breach of, any service contract term, and Maersk identifies none. To the extent the reference appearing in the “Svc Contract” field of Waybill No. 268552028 denotes a service contract, § 40502(f) governs only actions for breach of that contract; it does not displace the Commission’s authority to adjudicate a claim under 46 U.S.C. § 41102(c).

<sup>5</sup>The Commission does not administer COGSA, and Complainant does not ask it to. Complainant’s point is narrower: the existence of a COGSA defense in a hypothetical court action does not strip the Commission of its independent statutory authority over the carrier practices challenged here.

#### **D. Maersk’s “Floodgates” Concern Is Misplaced**

Maersk warns that if this Complaint proceeds, “every shipper will seek cargo claim damages from the Commission.” Mot. at 3. Not so. The elements of 46 C.F.R. § 545.4—in particular, the requirement that the challenged acts occur “on a normal, customary, and continuous basis” and that the practice itself be unjust or unreasonable—already separate ordinary cargo claims from challenges to a carrier’s standing regulations and practices. A shipper whose cargo is damaged at sea and who sues on the bill of lading states no § 41102(c) claim. A shipper who challenges a carrier’s standing rule for SOC equipment damaged in terminal custody, applied through a carrier directive, does.

#### **III. COGSA DOES NOT GOVERN BY ITS OWN FORCE, AND THE BILL OF LADING EXTENSION ON WHICH MAERSK RELIES IS CONDITIONAL**

Maersk acknowledges that COGSA of its own force applies only from the time goods are loaded on the ship to the time they are discharged. Mot. at 9–10 (citing *Norfolk S. Ry. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 29 (2004)); see 46 U.S.C. § 30701 note, COGSA § 1(e). DKOU2503276 was never loaded. COGSA therefore reaches this tank, if at all, only by contract. See COGSA § 7; *Kirby*, 543 U.S. at 29.

The contractual extension Maersk invokes is conditional. Clause 5.3 of Maersk’s Terms provides: “**Where US COGSA applies** then the provisions stated in the said Act shall govern during Carriage to or from a container yard ... at the Port of Loading before loading on the vessel.” Mot. at 6 (emphasis added). The clause does not say that COGSA applies to the pre-loading period; it says that, *where* COGSA applies, its provisions govern that period. Whether that condition is satisfied as to a unit that was never loaded and never described on the bill of lading is, at a minimum, a question of contract interpretation dependent on facts outside the pleadings. Any ambiguity in

terms drafted by the carrier is construed against the carrier. *See* Restatement (Second) of Contracts § 206.

COGSA's own scope provision points the same way. COGSA applies to "contracts of carriage covered by a bill of lading or any similar document of title." COGSA § 1(b). The only bill of lading in the record describes three *other* tanks. Compl. Ex. A. Whether, and on what terms, the damaged tank was "covered" by that document is a factual question Maersk's Motion simply assumes away.

Finally, loss or damage occurring in a United States port before loading is the traditional domain of the Harter Act, which bars a carrier from inserting in a bill of lading a provision relieving it of liability for loss or damage arising from negligence or fault in the proper loading, stowage, custody, or care of property. 46 U.S.C. § 30704. Maersk's Motion does not address it. The interplay of these regimes presents questions that cannot be resolved against Complainant on the pleadings—and, in any event, none of them divests the Commission of jurisdiction over a claim under § 41102(c).

#### **IV. THE USD 500 LIMITATION IS A MERITS DEFENSE THAT CANNOT SUPPORT DISMISSAL, AND STOLT IS DISTINGUISHABLE**

##### **A. Maersk's Limitation Argument Is an Affirmative Defense Dependent on Disputed Facts**

Maersk's alternative request—that its "liability should be limited to a maximum of \$500.00" (Mot. at 14)—confirms that its limitation argument goes to the amount recoverable, not to whether a claim is stated. A limitation of liability is an affirmative defense. It supports dismissal only if the complaint itself establishes it. *Jones*, 549 U.S. at 215. Here, the applicability of the limitation depends on, among other things: (i) whether COGSA or its contractual extension applies to a unit never loaded and never described on the bill of lading (Part III, *supra*); (ii) whether costs incurred

at Maersk’s direction to remove, transload, and re-forward the cargo are “loss or damage to or in connection with” goods at all; (iii) the source, terms, and incorporation of the separate SOC provision quoted by Maersk’s claims analyst, which does not appear in Exhibit 1 to the Motion; and (iv) the effect of Maersk’s own instruction that costs be handled “as a claim.” None of these can be resolved on the pleadings.

### **B. Stolt Addressed a Different Question in a Different Forum on Different Facts**

Maersk contends that *Stolt Tank Containers, Inc. v. Evergreen Marine Corp.*, 962 F.2d 276 (2d Cir. 1992), is “dispositive” because the facts are “virtually identical.” Mot. at 10–11. They are not.

1. **Forum and claim.** *Stolt* was an action in federal court for damage to containers under COGSA and the bill of lading. It did not involve, and did not address, 46 U.S.C. § 41102(c) or the reasonableness of any carrier regulation or practice.
2. **Bill of lading description.** In *Stolt*, the court held that each container “and its contents constituted a COGSA package” because the containers were “a necessary component of the packages of liquid chemical delivered to Evergreen” under the governing bills of lading. 962 F.2d at 280. Here, the bill of lading Maersk invokes does not describe DKOU2503276 at all. Compl. Ex. A.
3. **Period of damage.** In *Stolt*, the containers were carried and “arrived in Japan in a damaged condition.” *Id.* at 277–78. Here, the damage occurred in a U.S. terminal yard before loading, the unit was never carried, and Maersk itself withdrew it from the carriage.
4. **Nature of the costs.** *Stolt* concerned the value of physical damage to the containers. A substantial part of the claim here (USD 5,664.41) consists of removal,

transloading, replacement-tank, cleaning, and depot costs that Complainant incurred at Maersk's express direction to salvage and forward the cargo. *Stolt* did not consider whether a carrier may direct a shipper to incur such costs and then invoke a package limitation to refuse them. Maersk's own terms treat a shipper's refusal to mitigate as a waiver of all claims (Mot. Ex. 1, cl. 22.5); the costs of reasonable efforts to avoid loss are ordinarily recoverable. *See* Restatement (Second) of Contracts § 350 cmt. h.

**C. Enforceability of a Limitation in a Court Action Does Not Determine Reasonableness Under Section 41102(c)**

Maersk argues that a finding that it failed to establish and enforce just and reasonable practices “would be entirely inconsistent with the *Stolt* holding that an ocean carrier may limit its liability for damage to a container to \$500.00.” Mot. at 11. That conflates two distinct questions. Whether a limitation clause can be enforced in a COGSA damages action is a question of contract and admiralty law. Whether a carrier's regulation and practice—here, directing SOC shippers to bear remediation “as a claim” and then categorically capping that claim, while barring recourse against the terminal subcontractor—is just and reasonable is a question Congress committed to the Commission under § 41102(c). Nothing in *Stolt* purports to answer the second question.

**V. THE COMPLAINT PLAUSIBLY ALLEGES EACH ELEMENT OF 46 C.F.R. § 545.4**

Section 545.4 interprets § 41102(c) to require that (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice or regulation is the

proximate cause of the claimed loss. 46 C.F.R. § 545.4; *see* 83 Fed. Reg. 64,478 (Dec. 17, 2018). Maersk challenges only elements (b) and (d) and the identification of a practice. Mot. at 12–13. Each is adequately pleaded.

**A. Element (a): Respondents Are Regulated Entities**

Maersk A/S is a vessel-operating ocean common carrier (FMC Org. No. 000219). Compl. § II. Maersk does not contend otherwise.<sup>6</sup>

**B. The Complaint Identifies a Specific Regulation and Practice**

Maersk asserts that the Complaint “fails to identify what MAERSK practices or regulations (other than the MAERSK’s alleged breach of contract) are said to be unfair or unjust.” Mot. at 12. The Complaint and its exhibits identify them precisely: Maersk’s protocol for SOC equipment damaged in its terminal custody, under which Maersk withdraws the unit by unilateral redelivery, directs the shipper to “coordinate the repair and handle any costs thereafter as a claim,” and then applies “the terms governing the acceptance and carriage of Shipper Owned Containers (SOC)” to cap that claim at USD 500. Compl. § III & Exs. C, E, G; Mot. Ex. 2. Section 41102(c) reaches “regulations *and* practices.” A written rule of general application to all SOCs, invoked by name by Maersk’s claims department, is a “regulation” in the ordinary sense of the statute—whether it is found in a tariff, in booking terms, or in an internal claims guideline. *See* 46 U.S.C. § 40501 (tariff publication).

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<sup>6</sup>Maersk’s Motion does not separately contend that Maersk Agency U.S.A., Inc. is not a proper respondent. The record reflects that Maersk Agency U.S.A., Inc. issued the waybill “as Agent(s)” for the Carrier and that the claim was handled through Maersk’s North American claims function. Compl. Exs. A, G.

**C. Element (b): The Practice Occurs on a Normal, Customary, and Continuous Basis**

Maersk argues that element (b) fails because the Complaint concerns “*one* SOC Tank in a single shipment.” Mot. at 12. That confuses the number of times *Complainant* was injured with the character of the *conduct* challenged. Section 545.4(b) asks whether the respondent’s acts or omissions “are occurring on a normal, customary, and continuous basis”; it does not require a complainant to have been injured repeatedly.

The record supports a strong inference that Maersk’s conduct here was the application of a standing rule, not an isolated act:

1. Maersk’s claims analyst did not rely on the facts of this incident; she invoked “**the terms governing the acceptance and carriage of Shipper Owned Containers (SOC)**”—a rule by its terms applicable to every SOC Maersk accepts. Mot. Ex. 2.
2. Maersk’s operations representative framed his directive categorically: “**As this is a shipper owned container**, you will need to coordinate the repair and handle any costs thereafter as a claim.” Compl. Ex. C. The instruction turned on the class of equipment, not on any assessment of fault.
3. Maersk’s claims department reaffirmed the same position three times—on July 28, August 3, and August 10, 2026—each time by reference to standard terms. Compl. Ex. G.

A regulation of general applicability operates, by its nature, on a continuous basis for so long as it is maintained. At the pleading stage, these facts make it at least plausible that Maersk applies the same SOC rule and the same remediation-as-a-claim directive to SOC shippers generally. The full scope of the practice is peculiarly within Maersk’s knowledge and is

appropriately developed through Maersk's answer and such additional submissions as the Presiding Officer may require under 46 C.F.R. § 502.314.

**D. Element (c): The Practice Relates to Receiving, Handling, Storing, and Delivering Property**

The challenged practice governs what Maersk does with property it has *received* into terminal custody, how that property is *handled* and *stored* when damaged there, and how it is “redeliver[ed]” to the shipper. Compl. Ex. C. It is difficult to conceive of a practice more squarely “connected with receiving, handling, storing, or delivering property.” Maersk does not argue otherwise.

**E. Element (d): The Practice Is Plausibly Unjust and Unreasonable**

Maersk contends that the Complaint offers only a “conclusory statement” on this element and that *Stolt* “precludes such a finding.” Mot. at 13. The second point is addressed in Part IV.C above. As to the first, the Commission has long held that “[t]he test of reasonableness as applied to terminal practices is that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” *Kawasaki Kisen Kaisha, Ltd. v. Port Auth. of N.Y. & N.J.*, Docket No. 11-12, at 18 (FMC Nov. 20, 2014) (quoting *W. Gulf Mar. Ass’n v. Port of Houston Auth.*, 18 S.R.R. 783, 790 (FMC 1978), *aff’d mem. sub nom. W. Gulf Mar. Ass’n v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979)). The same standard applies to the practices of ocean common carriers, which § 41102(c) subjects to the identical obligation. The facts pleaded plausibly show that Maersk’s practice is not:

1. It shifts to the shipper the entire cost of damage that the carrier’s own terminal subcontractors cause to equipment received in sound condition.

2. It directs the shipper to incur remediation costs and to submit them “as a claim,” inducing reliance, and then treats the directed claim as categorically non-compensable beyond USD 500.
3. It is paired with terms that forbid the shipper from pursuing the terminal subcontractor (Mot. Ex. 1, cls. 4.2, 4.4) and that deem a failure to mitigate a waiver of all claims (*id.*, cl. 22.5), leaving the shipper with an obligation to act and no meaningful remedy for doing so.
4. It was accompanied by Maersk’s failure to notify the shipper that its hazardous-cargo tank had been damaged and cut from the vessel, leaving the shipper to discover the omission on its own. Compl. Ex. F.
5. It was applied to a unit that Maersk’s own bill of lading does not describe, on the strength of an SOC provision that Maersk has not placed in the record. Compl. Ex. A; Mot. Ex. 2.

Whether Maersk can justify that practice is a question for the merits. These are not “labels and conclusions”; they are specific, documented facts from which unreasonableness may plausibly be inferred.

#### **F. Element (e): The Practice Proximately Caused Complainant’s Loss**

Complainant’s costs flow directly from Maersk’s directive to remove the unit and handle costs “as a claim,” and from Maersk’s refusal, under its SOC rule, to honor that claim. Compl. Exs. C, D, G. Maersk does not contest this element.

## **VI. IN THE ALTERNATIVE, COMPLAINANT SHOULD BE PERMITTED TO AMEND OR SUPPLEMENT ITS COMPLAINT**

Maersk asks for dismissal “with prejudice.” Mot. at 2, 14. That request is unwarranted. This claim was presented on the Commission’s short-form small-claim template, which Complainant prepared for informal adjudication before Maersk declined that procedure. If the Presiding Officer concludes that any element is insufficiently pleaded, the appropriate course is to permit Complainant to amend or supplement its complaint—including to set out the SOC practice and its application in greater detail—or to call for additional submissions under 46 C.F.R. § 502.314. Leave to amend should be “freely give[n] when justice so requires,” Fed. R. Civ. P. 15(a)(2), absent undue delay, bad faith, or futility, none of which is present. *Foman v. Davis*, 371 U.S. 178, 182 (1962).

## **CONCLUSION**

For the foregoing reasons, Complainant respectfully requests that the Presiding Officer:

1. Deny Respondents’ Motion to Dismiss in its entirety;
2. Direct Respondents to file an answer conforming to 46 C.F.R. § 502.312 within such time as the Presiding Officer deems appropriate;
3. Accept Complainant’s reduction of the amount claimed to USD 19,226.29, and proceed with adjudication of this claim under Subpart T of the Commission’s Rules;
4. In the alternative, grant Complainant leave to file an amended or supplemental complaint within thirty (30) days; and
5. Grant such other and further relief as is just and proper.

Dated: October 02, 2026

Respectfully submitted,

*Saeyong Yu*

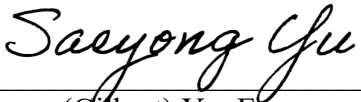
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## CERTIFICATE OF SERVICE

I hereby certify that on October 02, 2026, I caused a true and correct copy of the foregoing Complainant's Memorandum of Law in Opposition to Respondents' Motion to Dismiss and Reply Memorandum to be filed with the Office of Administrative Law Judges by electronic mail to [judges@fmc.gov](mailto:judges@fmc.gov), with copies to the Office of the Secretary ([secretary@fmc.gov](mailto:secretary@fmc.gov)), and to be served by electronic mail upon counsel for Respondents, in accordance with the Notice of Filing of Small Claims Complaint and Assignment and 46 C.F.R. § 502.320, as follows:

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